Northwind Dynamics, Inc. Employee Handbook

Document ID: HR-POL-001 **Version:** 7.2 **Effective Date:** January 1, 2026 **Owner:** People Operations (hr@northwinddynamics.example) **Applies to:** All U.S. employees of Northwind Dynamics, Inc. and its subsidiaries

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Section 1: Welcome and Purpose

1.1 About This Handbook

This handbook summarizes the policies, benefits, and expectations that apply to employees of Northwind Dynamics, Inc. ("Northwind" or "the Company"). It is a guide, not a contract. The Company may update any policy at any time with notice. Where a policy conflicts with applicable law, the law controls.

1.2 At-Will Employment

Employment at Northwind is at-will. Either the employee or the Company may end the employment relationship at any time, with or without cause or notice. Nothing in this handbook changes that. Only the Chief People Officer may authorize a written exception.

1.3 Equal Employment Opportunity

Northwind provides equal employment opportunity to all employees and applicants regardless of race, color, religion, sex, pregnancy, sexual orientation, gender identity or expression, national origin, age, disability, genetic information, veteran status, or any other characteristic protected by federal, state, or local law. This applies to hiring, pay, promotion, discipline, and termination.

1.4 Reasonable Accommodation

Employees with disabilities, or with religious beliefs or pregnancy-related conditions that require adjustments, may request a reasonable accommodation by contacting People Operations. The Company will engage in an interactive process within 5 business days of receiving a request. Requests do not need to be in writing, but a written request helps speed review.

Section 2: Employment Basics

2.1 Employment Classifications

Classification	Scheduled Hours	Benefits Eligible	Overtime Eligible
Full-Time Exempt	40+ hours/week	Yes	No
Full-Time Non-Exempt	40 hours/week	Yes	Yes
Part-Time	Fewer than 30 hours/week	Limited (see 2.2)	Yes if non-exempt
Temporary / Seasonal	Up to 6 months	No	Yes if non-exempt
Intern	Up to 12 weeks	No	Per law

2.2 Benefits Eligibility for Part-Time Employees

Part-time employees working 20 to 29 hours per week are eligible for the 401(k) plan, sick leave, and the Employee Assistance Program. They are not eligible for medical, dental, vision, paid vacation, or paid holidays. Employees working fewer than 20 hours per week are eligible for sick leave only, as required by law.

2.3 Introductory Period

All new employees complete a 90-day introductory period. During this period:

- Vacation accrues but may not be used until day 91, except by manager approval.
- Sick leave may be used as it accrues.
- Medical, dental, and vision coverage begins on the first day of the month following the start date.
- A formal check-in with the manager occurs at day 30, day 60, and day 90.

Completing the introductory period does not change at-will status.

2.4 Background Checks and I-9

Offers are contingent on a satisfactory background check and verification of work authorization. Employees must complete Form I-9 within 3 business days of their start date and provide original documents.

2.5 Personnel Records

Employees may review their personnel file by submitting a written request to People Operations. Access is provided within 7 business days, under supervision. Employees must

keep their address, emergency contacts, and tax withholding information current in the HR system (Workday).

Section 3: Work Schedules and Attendance

3.1 Standard Hours

Core business hours are 9:00 a.m. to 5:00 p.m. local time, Monday through Friday. Employees are expected to be available during core hours unless a different schedule has been approved. Flexible start times between 7:00 a.m. and 10:00 a.m. are allowed with manager approval.

3.2 Meal and Rest Breaks

Non-exempt employees who work more than 5 hours receive an unpaid 30-minute meal break. Non-exempt employees receive a paid 10-minute rest break for every 4 hours worked. Where state law provides greater protection, state law applies.

3.3 Overtime

Non-exempt employees are paid 1.5 times their regular hourly rate for hours worked over 40 in a workweek, and 2 times the regular rate for hours worked over 12 in a single day in California. Overtime must be approved in advance by a manager. Working unapproved overtime is a policy violation, but all hours worked will be paid.

3.4 Timekeeping

Non-exempt employees must record all time worked in Workday on a daily basis. Time cards must be approved by the manager by Monday at noon following each pay period close. Altering another employee's time record is prohibited.

3.5 Attendance and Notification

If an employee will be late or absent, they must notify their manager as soon as possible and no later than 1 hour before the scheduled start time, using phone, text, or Slack. Three consecutive days of absence without notice is considered job abandonment and may be treated as a voluntary resignation.

Section 4: Pay and Compensation

4.1 Pay Periods

Northwind pays employees bi-weekly, every other Friday. There are 26 pay periods per year. If a payday falls on a Company holiday, pay is issued on the preceding business day. Direct deposit is required.

4.2 Pay Statements

Pay statements are available in Workday. Employees should report any pay errors to payroll@northwinddynamics.example within 30 days. Corrections for underpayment are issued on the next payroll or sooner, with an off-cycle payment for errors exceeding $250.

4.3 Annual Compensation Review

Compensation reviews occur each March, with adjustments effective April 1. Merit increases are based on performance, market data, and budget. Promotions and market adjustments may occur outside the annual cycle.

4.4 Bonus Programs

Eligible employees may participate in the Annual Performance Bonus. Target bonuses range from 5% to 20% of base salary depending on job level. Bonuses are paid by March 15 for the prior fiscal year. Employees must be actively employed on the payout date to receive a bonus, unless otherwise required by law.

4.5 Referral Bonus

Employees who refer a candidate who is hired and completes 90 days of employment receive a $2,000 referral bonus. Referrals for roles at Director level and above receive $5,000. Members of the hiring team and People Operations are not eligible.

4.6 Payroll Deductions

Required deductions include federal, state, and local taxes, Social Security, and Medicare. Voluntary deductions include benefit premiums, 401(k) contributions, commuter benefits, and flexible spending accounts.

Section 5: Paid Time Off (Vacation)

5.1 Overview

Northwind provides paid vacation to full-time employees to rest and recharge. Vacation accrues each pay period based on years of service.

5.2 Accrual Schedule (Full-Time Employees)

Years of Service	Annual Vacation Days	Hours per Pay Period	Maximum Accrual Cap
0 to less than 2 years	15 days (120 hours)	4.62	180 hours
2 to less than 5 years	20 days (160 hours)	6.15	240 hours
5 to less than 10 years	25 days (200 hours)	7.69	300 hours
10 or more years	30 days (240 hours)	9.23	360 hours

Once an employee reaches the cap, vacation stops accruing until the balance falls below the cap. Accrual resumes automatically.

5.3 Requesting Vacation

Vacation requests are submitted in Workday. Requests of 1 to 4 days should be submitted at least 2 weeks in advance. Requests of 5 or more consecutive days should be submitted at least 4 weeks in advance. Managers respond within 3 business days. Approval depends on business needs, and requests are generally granted in the order received.

5.4 Carryover

Employees may carry over unused vacation into the next calendar year up to their accrual cap. Balances above the cap on December 31 are not forfeited, but accrual remains paused until the balance drops below the cap.

5.5 Vacation Increments

Vacation may be taken in increments of 4 hours (half day). Exempt employees are not required to use vacation for absences of less than 4 hours.

5.6 Payout on Separation

Accrued, unused vacation is paid out at the final base rate of pay upon separation, regardless of the reason for separation, in all states. Payout is included in the final paycheck where state law requires, and otherwise on the next regular payday.

5.7 Vacation During a Leave

Vacation does not accrue during unpaid leaves of absence exceeding 30 days. Accrual resumes on return to work.

5.8 Company Shutdown Week

Northwind closes the week between December 25 and January 1. Employees do not need to use vacation for the Company holidays in that week (see Section 6). Remaining days in the shutdown week not designated as holidays are charged to vacation, unless the employee is required to work.

5.9 Vacation Donation

Employees may donate up to 16 hours of vacation per calendar year to a coworker who has exhausted their leave due to a qualifying medical event. Donations are submitted through People Operations and are irrevocable.

Section 6: Company Holidays

6.1 Paid Holidays

Northwind observes 11 paid holidays per year for full-time employees.

Holiday	2026 Date	2027 Date
New Year's Day	Thursday, January 1	Friday, January 1
Martin Luther King Jr. Day	Monday, January 19	Monday, January 18
Presidents' Day	Monday, February 16	Monday, February 15
Memorial Day	Monday, May 25	Monday, May 31
Juneteenth	Friday, June 19	Friday, June 18 (observed)
Independence Day	Friday, July 3 (observed)	Monday, July 5 (observed)
Labor Day	Monday, September 7	Monday, September 6
Thanksgiving Day	Thursday, November 26	Thursday, November 25
Day After Thanksgiving	Friday, November 27	Friday, November 26
Christmas Eve	Thursday, December 24	Friday, December 24
Christmas Day	Friday, December 25	Friday, December 24 (observed)

6.2 Floating Holidays

In addition to the 11 paid holidays, full-time employees receive 2 floating holidays (16 hours) per calendar year. These may be used for any personal, cultural, or religious observance. Floating holidays do not carry over and are not paid out at separation. New hires receive a prorated amount based on start date: 2 days if hired before June 30, 1 day if hired between July 1 and September 30, and 0 days if hired after October 1.

6.3 Holidays on Weekends

When a holiday falls on a Saturday, it is observed the preceding Friday. When it falls on a Sunday, it is observed the following Monday.

6.4 Holiday Pay for Non-Exempt Employees

Non-exempt full-time employees receive 8 hours of holiday pay. Employees required to work on a holiday are paid 1.5 times their regular rate for hours worked, in addition to holiday pay, and may be given an alternate day off.

6.5 Holidays During Vacation

If a Company holiday falls during an employee's vacation, the holiday is not charged to vacation.

6.6 Holiday Pay Eligibility

To receive holiday pay, an employee must work or be on approved paid leave the scheduled workday before and after the holiday.

Section 7: Sick Leave and Wellness Time

7.1 Sick Leave Allotment

Full-time employees receive 80 hours (10 days) of paid sick leave per calendar year, available on January 1 or on the start date for new hires (prorated). Part-time employees accrue 1 hour of sick leave for every 30 hours worked, up to 48 hours per year.

7.2 Qualifying Uses

Sick leave may be used for the employee's own illness, injury, or medical appointments; for the care of a family member (spouse, domestic partner, child, parent, sibling, grandparent, grandchild); or for the effects of domestic violence, sexual assault, or stalking.

7.3 Documentation

A doctor's note is required only for absences of 3 or more consecutive workdays. Northwind will not require disclosure of a diagnosis.

7.4 Carryover

Up to 40 unused sick hours carry over each year. Sick leave is not paid out at separation, except where required by state law.

7.5 Mental Health Days

Employees may use up to 3 sick days per calendar year as mental health days, with no explanation required.

Section 8: Leaves of Absence

8.1 Family and Medical Leave (FMLA)

Eligible employees may take up to 12 weeks of unpaid, job-protected leave in a 12-month period for the birth or placement of a child, a serious health condition of the employee or a family member, or qualifying military exigencies. Eligibility requires 12 months of service, at least 1,250 hours worked in the previous 12 months, and employment at a site with 50 or more employees within 75 miles. Military caregiver leave is up to 26 weeks. Group health coverage continues on the same terms as active employees.

Employees should provide 30 days' notice for foreseeable leave. Contact People Operations to start a leave request. Employees may be required to use accrued sick leave concurrently with FMLA.

8.2 Paid Parental Leave

Northwind provides paid parental leave to all full-time employees with at least 6 months of service:

- **Birth parent:** 16 weeks at 100% of base pay, including recovery.
- **Non-birth parent, adoptive parent, or foster placement:** 12 weeks at 100% of base pay.

Leave must be taken within 12 months of the birth or placement and may be taken in one block or in two blocks. Paid parental leave runs concurrently with FMLA. Benefits continue during leave.

8.3 Bereavement Leave

Employees receive paid bereavement leave as follows:

- **Immediate family** (spouse, domestic partner, child, parent, sibling, grandparent, in-law): up to 5 paid days.
- **Extended family** (aunt, uncle, cousin, niece, nephew): up to 2 paid days.
- **Pregnancy loss** (employee or partner): up to 5 paid days.

Additional unpaid time or use of vacation may be approved by the manager.

8.4 Jury Duty and Court Appearances

Employees receive their regular pay for up to 10 business days of jury duty per year. Employees must provide the summons to their manager as soon as it is received and return to work if released early on a given day.

8.5 Military Leave

Northwind complies with USERRA. Employees called to military service receive unpaid, job-protected leave, with reinstatement on return. The Company provides up to 2 weeks of paid leave per year for National Guard or Reserve training.

8.6 Voting Leave

If an employee's schedule does not allow adequate time to vote, they may take up to 2 hours of paid time off to vote. Notify the manager at least 1 day in advance.

8.7 Volunteer Time Off

Employees receive 16 hours of paid Volunteer Time Off (VTO) per calendar year to volunteer with a qualified nonprofit organization. VTO must be approved by the manager and logged in Workday.

8.8 Personal Leave

After 12 months of service, employees may request up to 12 weeks of unpaid personal leave. Approval is at the Company's discretion and benefits continuation depends on premium payment by the employee.

8.9 Short-Term and Long-Term Disability

Northwind provides short-term disability (STD) at no cost to full-time employees, covering 60% of base pay up to $2,500 per week for up to 26 weeks after a 7-day waiting period. Long-term disability (LTD) covers 60% of base pay up to $10,000 per month after 180 days of disability.

Section 9: Health and Welfare Benefits

9.1 Enrollment

New hires have 30 days from their start date to enroll in benefits. Open enrollment runs from November 1 to November 15 each year, with coverage effective January 1. Outside open enrollment, changes are allowed only for qualifying life events (marriage, birth, adoption, loss of other coverage) within 30 days of the event.

9.2 Medical Plans

Northwind offers three medical plans through Blue Shield of Illinois:

Feature	PPO Plus	PPO Standard	HDHP with HSA
Employee monthly premium (individual)	$145	$85	$35
Employee monthly premium (family)	$520	$340	$190
Annual deductible (individual)	$500	$1,500	$3,200
Out-of-pocket maximum (individual)	$3,500	$5,500	$6,000
Primary care visit	$25 copay	$35 copay	After deductible
Specialist visit	$50 copay	$70 copay	After deductible
Generic prescription	$10	$15	After deductible
Company HSA contribution	N/A	N/A	$750 individual / $1,500 family

9.3 Dental

Dental coverage is provided through Delta Dental. Preventive care (cleanings, exams, X-rays) is covered at 100%. Basic procedures are covered at 80%, and major procedures at 50%. The annual maximum is $2,000 per person. Orthodontia is covered at 50% up to a $2,000 lifetime maximum, for dependents under 19.

9.4 Vision

Vision coverage through VSP includes one eye exam per 12 months, and an allowance of $180 per 24 months toward frames or $150 toward contact lenses.

9.5 Life and AD&D Insurance

The Company provides basic life and accidental death and dismemberment (AD&D) insurance at 2 times annual base salary, up to $500,000, at no cost to employees. Supplemental coverage is available at the employee's cost.

9.6 Flexible Spending and HSA

- **Health FSA:** up to $3,300 per year for 2026.
- **Dependent Care FSA:** up to $5,000 per household per year.
- **HSA:** available only with the HDHP; the 2026 contribution limit is $4,400 individual and $8,750 family, including the Company contribution. Employees age 55 or older may contribute an additional $1,000.

9.7 Employee Assistance Program (EAP)

The EAP is free and confidential, available 24/7, and covers 8 free counseling sessions per issue per year for the employee and household members. Call 1-800-555-0142 or visit the EAP portal in Workday.

9.8 Wellness Benefit

Employees receive a $50 monthly wellness stipend for gym memberships, fitness classes, meditation apps, or similar. Submit receipts through the expense system.

9.9 Commuter Benefits

Pre-tax commuter benefits are available for transit and parking, up to the IRS monthly limits.

9.10 Family Building Benefit

Northwind provides up to $15,000 lifetime for fertility treatment, adoption, or surrogacy expenses, administered through Progyny.

9.11 COBRA

When coverage ends because of termination (other than gross misconduct), reduced hours, or another qualifying event, employees and dependents may elect COBRA continuation coverage for up to 18 months. Employees pay the full premium plus a 2% administrative fee.

Section 10: Retirement and Financial Benefits

10.1 401(k) Plan

Eligible employees can enroll in the Northwind 401(k) plan immediately upon hire. Employees are automatically enrolled at a 6% contribution rate, and may change or opt out at any time.

10.2 Company Match

Northwind matches 100% of the first 4% of eligible pay contributed and 50% of the next 2%, for a maximum match of 5% of pay. The match is deposited each pay period.

10.3 Vesting

Employee contributions are always 100% vested. Company match vests on the following schedule: 0% before 1 year, 33% after 1 year, 67% after 2 years, and 100% after 3 years of service.

10.4 Employee Stock Purchase Plan (ESPP)

After 6 months of service, employees may buy Company stock at a 15% discount through payroll deductions of 1% to 15% of pay. Purchases occur on the last trading day of March and

September. Shares must be held for 12 months before sale, unless the employee leaves the Company.

10.5 Tuition Reimbursement

Northwind reimburses up to $5,250 per calendar year for job-related degree or certification programs. Employees must earn a grade of B or better (or pass, for pass/fail courses), receive pre-approval from their manager and People Operations, and remain employed for 12 months after the last reimbursement or repay a prorated amount.

10.6 Professional Development Stipend

Each employee receives a $1,000 annual stipend for conferences, books, courses, and certifications.

Section 11: Workplace Flexibility and Remote Work

11.1 Work Models

Northwind has three work models:

- **Onsite:** Works from a Company office five days per week.
- **Hybrid:** Works onsite at least 3 days per week (Tuesday through Thursday are anchor days).
- **Remote:** Works from home, with occasional travel to the office for team events up to 4 times per year.

Work model is set by role and approved by the department head.

11.2 Home Office Stipend

Remote and hybrid employees receive a one-time $500 stipend for home office setup, and $75 per month for internet and phone expenses.

11.3 Working from Another Location

Employees may work from a different U.S. state or country for up to 20 business days per calendar year with manager and People Operations approval, due to tax and legal considerations. Permanent relocation requires prior approval, and compensation may be adjusted to the new location.

11.4 Equipment

The Company provides a laptop, monitor, and accessories. Equipment remains Company property and must be returned within 10 business days of separation.

Section 12: Code of Conduct and Workplace Behavior

12.1 Professional Conduct

Employees are expected to act honestly, treat others with respect, comply with laws and policies, and avoid conflicts of interest.

12.2 Anti-Harassment and Anti-Discrimination

Northwind prohibits harassment and discrimination on the basis of any protected characteristic. Prohibited conduct includes unwelcome sexual advances, offensive jokes, slurs, intimidation, and retaliation. This applies in the office, remotely, at events, and online.

12.3 How to Report

Employees may report concerns to their manager, People Operations, or the anonymous Ethics Hotline at 1-800-555-0199 (available 24/7). The Company investigates promptly, aims to complete investigations within 30 days, and keeps information confidential to the extent possible. Retaliation against anyone who reports in good faith is strictly prohibited and is grounds for termination.

12.4 Conflicts of Interest

Employees must disclose outside employment, board seats, or financial interests that could conflict with their duties. Outside work is allowed if it does not interfere with performance, compete with the Company, or use Company resources.

12.5 Gifts and Entertainment

Employees may not accept gifts valued above $100 from vendors or customers. Gifts of any value may not be solicited. Gifts to government officials are prohibited without Legal approval.

12.6 Workplace Violence and Weapons

Threats and violence are prohibited. Weapons are not permitted on Company premises, except where law prohibits such restrictions.

12.7 Drug and Alcohol Policy

Employees may not work while impaired by drugs or alcohol. Alcohol may be served at Company-sponsored events only with approval and moderate consumption is expected. Employees using legally prescribed medications that may affect performance should speak with People Operations about accommodations.

12.8 Dress Code

Dress is business casual unless a role requires otherwise. Employees meeting clients should dress appropriately for the setting.

12.9 Dating and Close Relationships

Employees may not directly supervise or influence the pay or promotion of a family member or someone they are in a romantic relationship with. Relationships must be disclosed to People Operations.

Section 13: Information Security and Technology Use

13.1 Acceptable Use

Company systems are for business use. Limited personal use is allowed if it does not interfere with work. Employees should have no expectation of privacy on Company systems, which may be monitored where permitted by law.

13.2 Passwords and Authentication

Employees must use multi-factor authentication (MFA), a password manager, and passwords of at least 14 characters. Passwords must never be shared.

13.3 Data Classification

Data is classified as Public, Internal, Confidential, or Restricted. Restricted data (customer PII, payment data, health information) may only be stored in approved systems and must be encrypted.

13.4 Reporting Security Incidents

Report suspected phishing, lost devices, or data breaches immediately to security@northwinddynamics.example or via Slack channel #security-incident. Lost or stolen devices must be reported within 1 hour of discovery.

13.5 Artificial Intelligence Tools

Employees may use Company-approved AI tools for work. Confidential or Restricted data must never be entered into unapproved AI tools. Employees remain responsible for the accuracy of any AI-generated work product.

13.6 Social Media

Employees must not speak on behalf of the Company on social media without authorization, and must not disclose confidential information. Nothing in this policy restricts employees' rights to discuss wages, hours, and working conditions.

Section 14: Travel and Expenses

14.1 Business Travel

Travel must be approved in advance by a manager and booked through the Company travel portal (Navan). Employees should book economy fares at least 14 days in advance when possible. Flights longer than 6 hours may be booked in premium economy.

14.2 Lodging and Meals

Hotel stays should not exceed $250 per night in major cities (New York, San Francisco, Boston, Washington D.C., Seattle) and $175 in all other locations. The meal per diem is $75 per day ($20 breakfast, $25 lunch, $30 dinner). Alcohol is not reimbursed, except for approved client entertainment.

14.3 Mileage

Personal vehicle mileage for business use is reimbursed at the current IRS rate. Commuting miles are not reimbursable.

14.4 Submitting Expenses

Expense reports must be submitted in Concur within 30 days of the expense, with itemized receipts for any expense over $25. Reimbursement is issued within 10 business days of manager approval. Reports submitted more than 60 days late may not be reimbursed.

14.5 Company Credit Cards

Employees who travel frequently may receive a Company card. Cards are for business expenses only, and personal use is prohibited.

Section 15: Performance and Development

15.1 Performance Reviews

Northwind conducts formal performance reviews twice a year: a mid-year check-in in July and a full annual review in January. Reviews include self-assessment, manager assessment, and peer feedback. Ratings use a 5-point scale: Exceptional, Exceeds Expectations, Meets Expectations, Partially Meets, and Does Not Meet.

15.2 Goal Setting

Employees set quarterly goals (OKRs) with their manager, reviewed in 1:1 meetings at least every two weeks.

15.3 Performance Improvement Plans

An employee who is not meeting expectations may be placed on a Performance Improvement Plan (PIP) lasting 30 to 90 days, with specific goals and regular check-ins. Failure to meet the PIP goals may result in termination.

15.4 Internal Mobility

Employees may apply for internal openings after 12 months in their current role (6 months with manager approval). Employees do not need manager permission to apply, but should inform their manager before interviews.

15.5 Promotions

Promotions are considered during the annual cycle and require manager recommendation, calibration across the department, and approval from the department head.

Section 16: Discipline and Complaint Resolution

16.1 Progressive Discipline

Where appropriate, the Company uses progressive discipline: verbal warning, written warning, final written warning or PIP, and termination. The Company may skip steps based on the seriousness of the conduct. Serious violations such as theft, harassment, violence, falsifying records, or breaches of confidentiality can result in immediate termination.

16.2 Open Door and Complaint Resolution

Employees are encouraged to raise concerns with their manager first. If unresolved, employees may escalate to their manager's manager, then to People Operations. The Company will respond to formal complaints within 10 business days.

16.3 Whistleblower Protection

Northwind prohibits retaliation against employees who report suspected legal violations or accounting irregularities in good faith.

Section 17: Separation from Employment

17.1 Resignation

Employees are asked to provide at least 2 weeks' written notice. Directors and above are asked to provide 4 weeks' notice. The Company may choose to accept the resignation effective immediately and will pay through the notice period for non-exempt employees only when required by law.

17.2 Layoffs and Severance

In a reduction in force, the Company provides severance of 2 weeks of base pay per year of service (minimum 4 weeks, maximum 26 weeks), subject to signing a separation agreement. The Company provides at least 60 days' notice for mass layoffs covered by the WARN Act.

17.3 Final Pay

The final paycheck includes all earned wages and accrued, unused vacation. In California, final pay is due on the last day of employment for involuntary terminations, and within 72 hours for resignations without notice.

17.4 Benefits After Separation

Medical, dental, and vision coverage ends on the last day of the month of separation. COBRA information is sent within 14 days. 401(k) balances remain in the plan or may be rolled over. Unvested match is forfeited.

17.5 Exit Process

Employees must return all Company property and complete an exit interview. Access to systems is removed on the last day of employment.

17.6 References

Northwind confirms only dates of employment and job title to outside inquiries, unless the employee authorizes otherwise in writing.

Section 18: Frequently Asked Questions

How many vacation days do I get as a new employee? Full-time employees in their first 2 years earn 15 days (120 hours) per year, accruing at 4.62 hours per pay period. The accrual cap is 180 hours.

When can I start using my vacation? After the 90-day introductory period, starting on day 91. Earlier use requires manager approval.

Does my vacation roll over at the end of the year? Yes, up to your accrual cap (180 hours in years 0–2, 240 hours in years 2–5, 300 hours in years 5–10, and 360 hours at 10+ years).

Do I get paid for unused vacation if I leave? Yes. Accrued, unused vacation is paid out at your base rate at separation.

How many paid holidays does Northwind have? 11 paid holidays plus 2 floating holidays per year.

What is the holiday schedule for 2026? New Year's Day (Jan 1), MLK Day (Jan 19), Presidents' Day (Feb 16), Memorial Day (May 25), Juneteenth (Jun 19), Independence Day observed (Jul

3), Labor Day (Sep 7), Thanksgiving (Nov 26), Day After Thanksgiving (Nov 27), Christmas Eve (Dec 24), and Christmas Day (Dec 25).

How much sick leave do I get? Full-time employees get 80 hours (10 days) per year. Up to 40 hours carry over.

Do I need a doctor's note? Only for 3 or more consecutive days of absence.

How long is paid parental leave? 16 weeks at full pay for a birth parent, and 12 weeks at full pay for non-birth, adoptive, and foster parents, after 6 months of service.

How much bereavement leave do I get? 5 days for immediate family, 2 days for extended family, and 5 days for pregnancy loss.

When is open enrollment? November 1 to November 15, with coverage effective January 1.

When does my health insurance start? The first day of the month after your start date.

How does the 401(k) match work? Northwind matches 100% of the first 4% you contribute and 50% of the next 2%, for a maximum of 5%. The match vests over 3 years: 33% at year 1, 67% at year 2, and 100% at year 3.

How often am I paid? Every other Friday (26 pay periods per year).

Can I work remotely? It depends on your role's work model: onsite, hybrid (3 days in office, anchored on Tuesday through Thursday), or remote. Working from another state or country is limited to 20 business days per year with approval.

What is the home office stipend? A one-time $500 for setup and $75 per month for internet and phone.

How do I submit an expense report? Use Concur within 30 days of the expense, with receipts for anything over $25.

What is the daily meal allowance for travel? $75 per day: $20 breakfast, $25 lunch, and $30 dinner.

How do I report harassment? Contact your manager, People Operations, or the anonymous Ethics Hotline at 1-800-555-0199. Retaliation is prohibited.

What mental health support is available? The EAP offers 8 free counseling sessions per issue per year (1-800-555-0142), and employees can use up to 3 sick days per year as mental health days.

Does Northwind help pay for school? Yes. Tuition reimbursement is up to $5,250 per year, and there is a $1,000 professional development stipend.

How much notice should I give when resigning? 2 weeks, or 4 weeks for Directors and above.

How much severance would I get in a layoff? 2 weeks of base pay per year of service, with a minimum of 4 weeks and a maximum of 26 weeks, if you sign a separation agreement.

Who do I contact with questions not covered here? People Operations at hr@northwinddynamics.example, or open a ticket in Workday under Help.

Appendix A: Key Contacts

Topic	Contact
General HR questions	hr@northwinddynamics.example
Payroll	payroll@northwinddynamics.example
Benefits	benefits@northwinddynamics.example
Leave of absence	leaves@northwinddynamics.example
IT security	security@northwinddynamics.example
Ethics Hotline (24/7)	1-800-555-0199
EAP (24/7)	1-800-555-0142
Travel support (Navan)	travel@northwinddynamics.example

Appendix B: Glossary

- **Accrual:** The gradual earning of leave hours each pay period.
- **COBRA:** Federal law allowing continuation of group health coverage after job loss.
- **Exempt / Non-Exempt:** Whether an employee is exempt from overtime under the Fair Labor Standards Act.
- **FMLA:** The Family and Medical Leave Act.
- **HDHP:** High-deductible health plan, eligible for an HSA.
- **HSA / FSA:** Tax-advantaged accounts for medical or dependent care costs.
- **PIP:** Performance Improvement Plan.
- **PTO:** Paid time off. At Northwind, vacation, sick leave, and holidays are tracked separately.
- **VTO:** Volunteer Time Off.

Appendix C: Revision History

Version	Date	Summary of Changes
7.2	Jan 1, 2026	Updated holiday dates, 401(k) match, and HSA limits
7.1	Jul 1, 2025	Added AI tools policy and family building benefit
7.0	Jan 1, 2025	Increased paid parental leave to 16/12 weeks
6.5	Jan 1, 2024	Added mental health days and VTO

This handbook is a general guide and does not create a contract of employment. Northwind Dynamics, Inc. reserves the right to modify policies at any time.